

Capability Plus Consulting
Wellington, New Zealand
09 February 2026



Government Chief Digital Officer
Department of Internal Affairs
Parliament Buildings
Wellington

RE: Proposal for Integrated Capability Assurance – Securing the \$13B Digital Pipeline

Dear Government Chief Digital Officer,

Capability Plus is pleased to submit this proposal to support Cabinet's digital reform agenda and fiscal mandate. Our review of the operating environment for the Digital Workforce Programme indicates that New Zealand's \$13 billion digital investment pipeline is exposed to avoidable delivery risk because investment approval is not consistently supported by evidence of workforce delivery readiness.

Across government, emerging technology demands in AI, cybersecurity, data, and cloud continue to outpace workforce planning, while 85% of major initiatives are rated high risk and 59% are delayed or challenged (Department of Internal Affairs, 2025). Although capability frameworks exist, their uptake remains uneven and largely discretionary. As a result, capability risks are often surfaced only during delivery, when remediation is costly and agencies turn to contractor substitution. This limits system-wide visibility, weakens long-term institutional capability, and undermines Cabinet's ability to realise the \$1.2–\$3.6 billion savings mandate.

To address this structural issue, Capability Plus recommends an Integrated Capability Assurance Model implemented through a Soft Mandate approach. Specifically, we propose embedding a project-specific Capability Needs Analysis as a Strategic Funding Standard within existing Better Business Case and assurance pathways. This approach strengthens governance without creating parallel processes: agencies retain autonomy over how capability gaps are addressed, but funding decisions are informed by consistent, comparable evidence of delivery readiness.

We welcome the opportunity to discuss the proposed pilot and implementation roadmap, and to support the Department in embedding capability assurance standards during the upcoming transition of digital functions into the Government Digital Delivery Agency.

Sincerely,

Capability Plus (Group 2)

FEBRUARY 2026



Safeguarding New Zealand's \$13 Billion Digital Pipeline

A Proposal for Integrated Capability Assurance

Prepared for: The Department of Internal Affairs (DIA) and the New Zealand Cabinet

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Executive Summary

New Zealand's digital investment portfolio now sits at the centre of Cabinet's fiscal mandate. The Government is managing a \$13 billion digital investment pipeline, yet 85% of major initiatives are rated high risk and 59% are delayed or challenged (DIA, 2025). Evidence across technology, leadership, measurement, and investment governance shows a consistent pattern: funding decisions are being made without reliable, comparable evidence that agencies have or can sustainably build the workforce capability required to deliver what they are approved to implement.

Problem: A systemic Capability Assurance Gap exists. Digital capability uplift remains largely voluntary and inconsistently measured, while investment controls (Better Business Case and Gateway Reviews) assess strategic and financial viability but do not require workforce delivery readiness evidence at approval. This disconnect means capability risks are typically discovered during delivery, when remediation is costly, disruptive, and often addressed through contractor substitution. As a result, Cabinet's ability to achieve the \$1.2–\$3.6 billion savings mandate is weakened by avoidable rework, escalating contractor reliance, and uneven maturity across agencies (DIA, 2025).

Capability Plus recommends Option C: Soft Mandate - embedding a Capability Needs Analysis (CNA) as a Strategic Funding Standard within existing investment governance. Under this approach, agencies seeking funding submit project-specific CNA evidence as part of the Better Business Case, with capability readiness reviewed alongside financial and delivery risk. This is not a parallel workforce initiative; it is a governance control that strengthens decision quality using existing Treasury and assurance pathways.

The Integrated Capability Assurance Model links foresight to funding: technology foresight identifies emerging skill pressures (AI, cyber, data, cloud); CNA diagnoses delivery capability for each initiative; SFIA-aligned measurement standardises evidence; leadership accountability assigns ownership; and the investment assurance gate requires CNA evidence before capital release. The result is a repeatable line of sight from spend → capability → readiness → risk → value across the portfolio.

Outcomes and measures (MOV/CCV/UCV):

- **MOV (Cabinet-level):** By Q4 FY26, 100% of major digital proposals include CNA evidence at approval, enabling defensible capital release and better assurance of the savings mandate.
- **CCV (system-level):** SFIA-aligned CNA outputs create comparable, cross-agency visibility of capability gaps and future skill risks, improving portfolio prioritisation.
- **UCV (agency-level):** Light-touch templates (with optional AI-assisted prompts and human validation) minimise burden while strengthening executive ownership of delivery readiness.

Implementation requires modest investment relative to the \$13B pipeline, focused on diagnostic design/configuration, enablement, change support, pilot delivery, and governance overhead. Value is realised through earlier identification of delivery risk, reduced late-stage remediation, and reduced contractor dependence where permanent uplift is feasible. Even conservative substitution of a small number of critical contractor roles creates recurring savings, while improving delivery confidence and reducing avoidable failure risk.

Cabinet is asked to approve Option C (Soft Mandate) and authorise immediate commencement of a cross-agency pilot. The pilot will validate usability, data quality, and BBC/Gateway integration, then scale into routine investment governance to achieve Q4 FY26 assurance targets.

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1. Introduction

Digital transformation has moved decisively from an operational concern to a Cabinet-level governance priority. Recent centralisation of digital investment and procurement authority under the Government Chief Digital Officer reflects an acknowledgement that fragmented decision-making has materially increased fiscal and delivery risk (Department of Internal Affairs [DIA], 2025).

The purpose of this proposal is to provide Cabinet with a clear, evidence-based pathway to strengthen investment assurance by integrating four domains of research - Technology Foresight, Leadership Accountability, Framework Measurement, and Investment Assurance - into a single strategic funding gate. Drawing on prior domain research, client engagement feedback, and international precedent, the proposal reframes digital capability as a fiduciary responsibility rather than a discretionary operational activity.

The sections that follow establish the fiscal and strategic context for action, summarise the research findings, define the problem and its root causes, and present a proportionate, implementable solution. The proposal then details how this solution can be operationalised, governed, and measured to ensure it delivers sustained value.

2. Background and Problem Definition

2.1. Strategic Context: The Fiscal Mandate

This reform represents a significant governance pivot. Digital investment is no longer an agency-level concern; it is now a system-wide fiscal lever. However, technology alone cannot deliver the expected outcomes. Workforce capability ultimately determines whether transformation succeeds or fails. Without the right skills in place, digital investment risks producing fragmented solutions, escalating contractor dependence, and poor returns on public expenditure. For this reason, the Digital Workforce Programme sits at the centre of the Government's broader digital reform agenda, supporting the GCDO's objective of building a digitally capable public service through evidence-based approaches (NZ Digital Government [NZDG], 2025a).

This urgency is heightened by the planned transition of core GCDO functions into the Government Digital Delivery Agency within the Public Service Commission in April 2026 (New Zealand Government, 2025). This transition creates a narrow but critical window to embed consistent capability assurance standards into investment governance. Failure to act during this period risks entrenching existing fragmentation precisely when fiscal discipline and delivery confidence are most needed.

2.2. Operating Circumstances: System Pressures Across Technology, Leadership, Measurement, and Investment

Building on the fiscal mandate, this section synthesises findings across the four research domains to describe the operating environment in which the Digital Workforce Programme must now deliver outcomes.

Across government, emerging technologies such as artificial intelligence, cloud services, automation, and cybersecurity are scaling faster than workforce planning can adapt. Demand for specialist ICT security roles has increased by more than 300 percent, yet 29 percent of agencies report difficulty predicting their future capability needs (NZGD, 2025b). As shown in Table 1, capability development remains largely reactive and role-centric, rather than anticipatory and portfolio-driven. Critical domains, including AI

governance, cybersecurity assurance, advanced data analytics, and cloud architecture, exhibit medium to high severity gaps, increasing systemic exposure as agencies become more interdependent through shared digital platforms.

Capability Area	Current State (From)	Future State (To)	Gap Severity
AI/Automation	Pilots	Broad literacy, oversight,	High Gap
Cybersecurity	Operational response	Resilience, assurance, and risk management	Med-High Gap
Data	Reporting	Governance, advanced analytics, and AI-enabled decisions	High Gap
Cloud/Shared Platforms	Service management	Architecture and integration	Medium Gap

Table 1. Indicative Emerging Digital Capability Gaps (AI, Cybersecurity, Data, Cloud)

These technical pressures are compounded by leadership and accountability constraints. While global evidence indicates that approximately 70 percent of digital transformations fail, only 25 percent of organisations report having the right leadership in place to guide change. Within the New Zealand Public Service, “digital engagement” remains operationally undefined and inconsistently enacted. Senior role descriptions rarely embed explicit sponsorship of digital capability uplift, resulting in ambiguous ownership of outcomes. Consequently, digital maturity continues to be treated as an IT responsibility rather than a fiduciary obligation to Cabinet.

Measurement challenges further amplify this fragmentation. Although SFIA-NZ provides a nationally endorsed framework for describing digital skills, consistent adoption sits at approximately 25 percent (NZDG, 2025b). This creates a significant visibility gap, preventing the GCDO from forming a reliable system-wide view of workforce readiness or identifying critical capability shortages. The underlying issue is not the absence of frameworks, but the absence of a foundational diagnostic mechanism, specifically, a Capability Needs Analysis (CNA), to determine what capabilities agencies actually require executing their strategic and investment commitments.

From an investment perspective, these capability blind spots translate directly into fiscal risk. Currently, 85 percent of digital initiatives are rated high-risk, with 59 percent already delayed or challenged (DIA, 2025). Figure 1 demonstrates why the current control is insufficient. Investment controls like Gateway Reviews and Better Business Case (BBC) framework assess strategic alignment and financial viability, yet they do not mandate evidence of human delivery readiness at the point of funding approval. At the same time, agencies face acute workforce constraints. Global cybersecurity shortages are forecast to reach 85 million workers by 2030 (Meineke, 2024), accelerating reliance on high-cost contractors and weakening long-term institutional capability (NZDG, 2025c; OECD, 2021). This masks structural capability gaps while undermining long-term value and threatening Cabinet’s \$1.2–\$3.6 billion savings mandate.



Figure 1. Why the Current Control is Insufficient

These domain-specific pressures are reinforced by broader external and internal forces, summarised in Table 2 through a PESTLE lens. Politically, Cabinet's centralisation of digital investment requires enforceable system stewardship. Economically, the \$13 billion pipeline is increasingly unaffordable under current delivery models. Socio-culturally, public expectations for secure, inclusive digital services coincide with acute shortages in AI, data, and cyber expertise. Technologically, rapid platform consolidation heightens integration risk. Legally, agencies face rising obligations for privacy, security, and data governance. Internally, uneven maturity and voluntary framework adoption continue to impede coordinated action.

Factor	Core Pressure	Implication
Political	Cabinet has centralised digital investment and procurement under the GCDO to unlock savings and reduce duplication.	Requires mandatory compliance at investment approval gates to legitimise the GCDO's system-led authority.
Economic	A \$13 billion pipeline is unaffordable, and agencies face escalating contractor costs and workforce reductions.	Funding must prioritise MOV/ROI-driven capability investment that reduces costly contractor reliance and delivery failure.
Socio-Cultural	High public expectations for modern digital services and Te Tiriti-aligned capability; critical shortages exist in AI, data, and cyber.	Assurance must validate specialised skill pathways and cultural competency before approving major investments.
Technological	Rapid adoption of AI, cloud, and cybersecurity increases delivery complexity; legacy replacement is urgent for 75% of agencies.	Governance must ensure future-skills planning to avoid high-risk outsourcing and legacy cost escalation.
Legal	Increasing statutory obligations for privacy, cybersecurity, data governance, and accessibility (e.g., Privacy Act, Public Records Act, security standards), combined with rising accountability for delivery failures.	Investment governance must verify that appropriately qualified personnel are assigned to security, data stewardship, and compliance-critical roles before funding approval to reduce legal exposure and reputational risk.
Internal	85% of projects are high-risk; capability frameworks are voluntary and inconsistently applied across agencies.	A mandatory capability assurance requirement becomes essential for controlling delivery risk and investment failure.

Table 2. PESTLE Analysis – External and Internal Drivers for Change

These circumstances demonstrate that the Public Service is operating within a high-risk convergence of fiscal constraint, talent scarcity, technological acceleration, and fragmented accountability. While guidance frameworks and capability initiatives exist, they remain discretionary, disconnected from investment decisions, and insufficient to provide Cabinet with assurance that funded programmes can be delivered sustainably.

These conditions set the stage for the core challenge addressed in this proposal. The following section consolidates these findings into a formal problem statement, outlining how the absence of enforceable capability assurance undermines delivery confidence, value realisation, and system-wide governance.

2.3. Problem Statement

The operating circumstances converge on a single systemic issue: while digital investment has been centralised, delivery capability has not been assured. The findings demonstrate that New Zealand's \$13 billion digital pipeline is being funded without consistent evidence that agencies possess or can sustainably build the human capability required to deliver what they are approved to implement.

Technology and investment data confirms delivery risk is already embedded in the pipeline; measurement gaps prevent system-wide visibility of readiness. Leadership and investment findings identify why this situation persists. Digital capability uplift is not embedded within senior role accountabilities, and investment controls do not mandate evidence of workforce readiness at approval. Capability is therefore treated as an operational consideration rather than a governance requirement, leaving agencies with little incentive to resolve gaps before funding is released.

Figure 2 synthesises these conditions into what this proposal defines as the Capability Assurance Gap. It illustrates how voluntary uplift, fragmented measurement, and disconnected investment approval interact to prevent early identification of delivery risk. In practical terms, capability shortfalls are discovered only during execution, when remediation is slow, costly, and highly visible, rather than at the point where investment decisions could still be influenced.

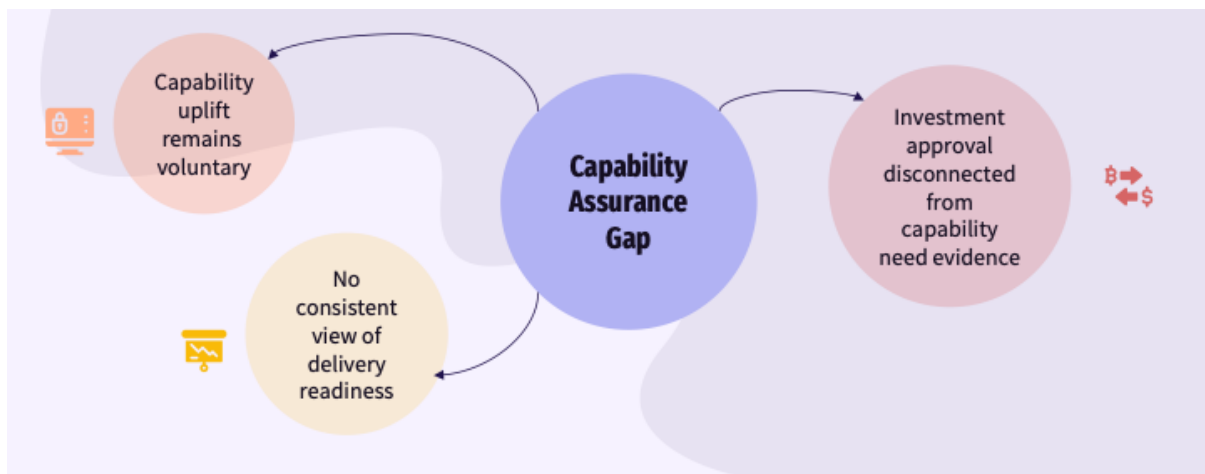


Figure 2. The Capability Assurance Gap

These impacts undermine Cabinet's ability to achieve the \$1.2–\$3.6 billion savings mandate, increase reliance on high-cost contractors, weaken institutional capability, and expose the digital portfolio to compounding delivery failure. Most critically, they prevent the GCDO from providing Cabinet with a clear line of sight from approved spend to delivery confidence and organisational value.

The following section therefore examines the root causes of this gap in greater depth, establishing why the absence of a capability-investment governance mechanism represents the critical point of intervention.

2.4. Root Cause Analysis

The operating circumstances outlined above point to a systemic, not operational, failure. To isolate the underlying cause, a Five Whys analysis was applied to the persistent high-risk profile of government digital initiatives.

As shown in Figure 3, delivery risk initially manifests as skills shortages at critical points in programmes. These shortages are masked through reactive contractor reliance, driven by the absence of forward-looking workforce planning. Planning gaps persist because capability measurement is inconsistent and voluntary. Ultimately, the analysis identifies a single structural root cause: the absence of a foundational CNA required at investment approval.

This finding confirms that the issue is not the lack of frameworks as SFIA-NZ already exists but the lack of enforceable governance mechanisms linking capability evidence to funding decisions. Without a mandatory diagnostic baseline, the GCDO cannot reliably assess delivery readiness, coordinate system-wide capability uplift, or provide Cabinet with assurance that funded programmes are executable.

Consequently, capability risk remains invisible until delivery, when remediation is slow and costly. This governance gap directly constrains the effectiveness of the Digital Workforce Programme.

The following section examines how comparable jurisdictions have addressed this challenge through integrated capability assurance models.

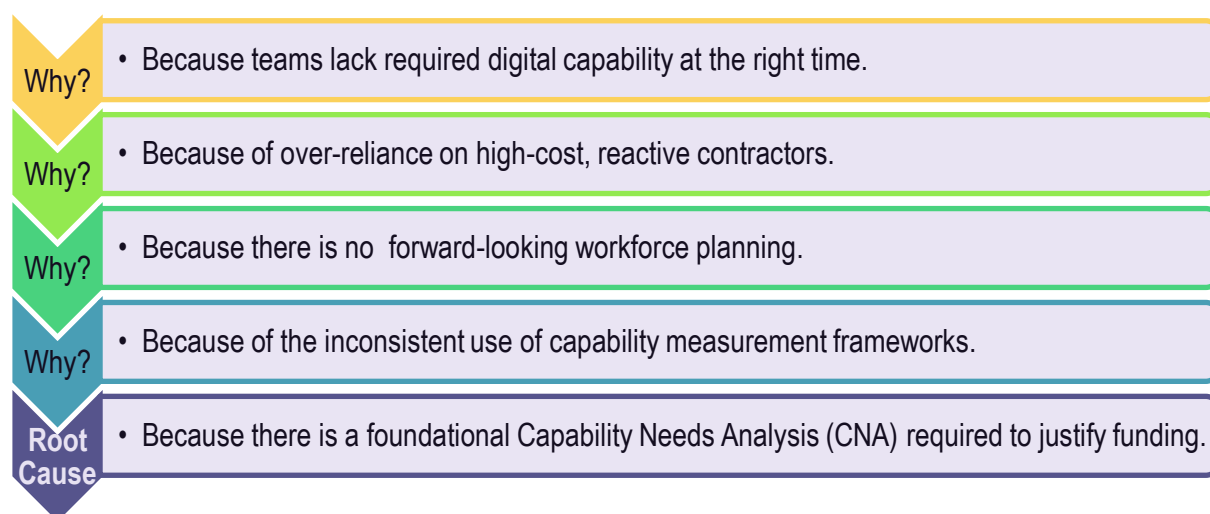


Figure 3. Five Whys Root Cause Analysis

2.5. Comparative precedent

The structural governance gap identified above is not unique to New Zealand. International evidence shows that digital transformation across federated public sectors cannot be achieved through voluntary guidance alone. OECD analysis confirms that effective system stewardship requires enforceable capability conditions embedded directly within investment governance, rather than reliance on discretionary adoption by individual agencies (OECD, 2021).

The Australian Public Service provides a relevant precedent through its Digital and ICT Investment Oversight Framework (IOF), illustrated in Figure 4. This framework governs the full investment lifecycle, from strategic planning and prioritisation, through contestability and assurance, to sourcing and real-world use (Australian Government, 2024; 2025). Capability considerations are embedded across multiple stages: agencies must demonstrate delivery readiness during prioritisation and contestability, while assurance functions validate that investments remain aligned to portfolio maturity and target-state outcomes. CFO-level oversight explicitly links workforce capability, investment dependencies, and funding approval into a single, coherent governance process (Gill & Hansnata, 2024).

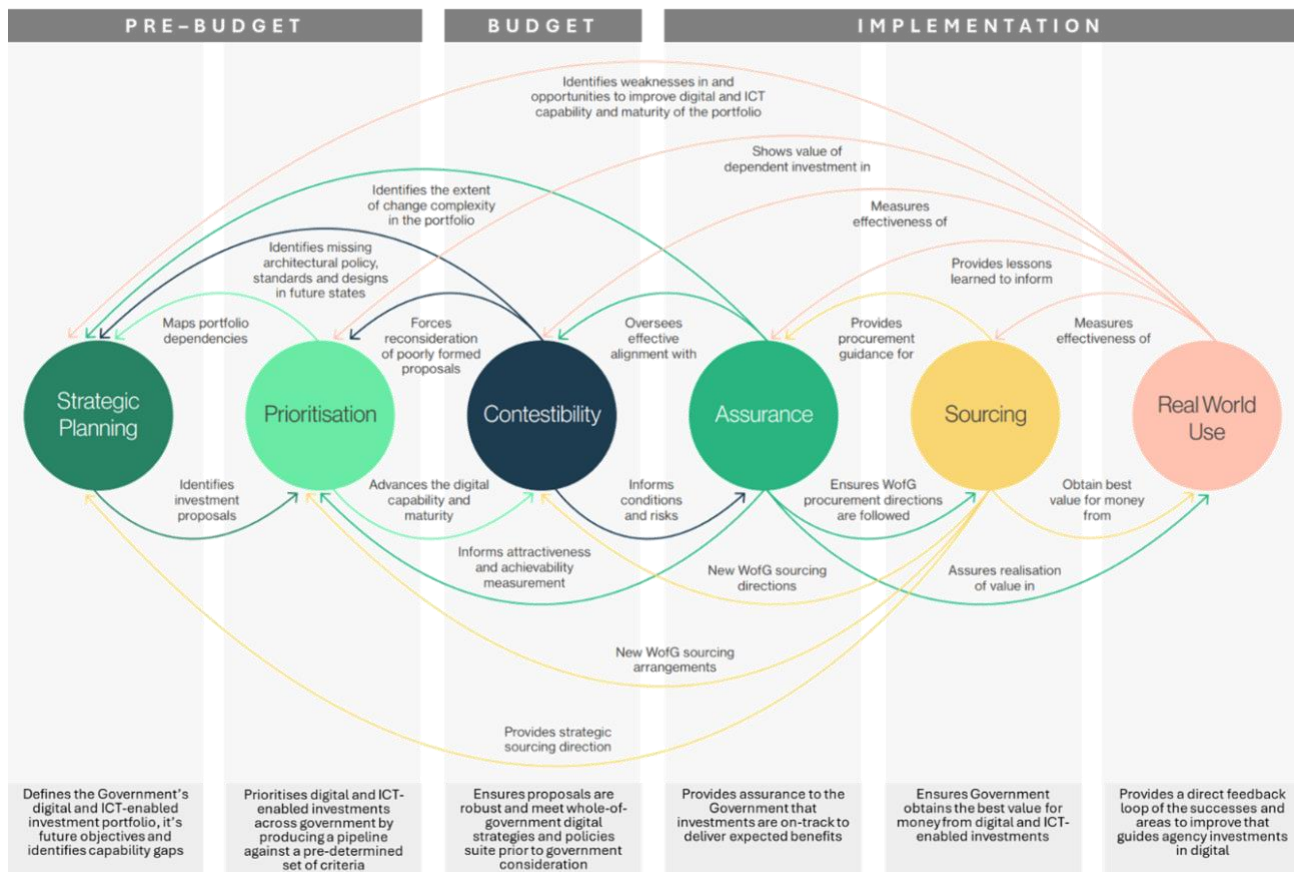


Figure 4. Investment Oversight Framework (Gill & Hansnata, 2024)

As shown in Figure 4, this end-to-end model replaces fragmented controls with a continuous feedback loop, enabling central stewards to identify capability gaps early, align investments to future-state requirements, and intervene before delivery risk materialises.

This precedent reinforces a critical principle for New Zealand's context: capability assurance is not punitive oversight; it is a standard mechanism for protecting public value in high-risk digital portfolios. Consistent with guidance from the New Zealand Public Service Commission (2023), which positions capability reviews as a core system leadership responsibility, these approaches demonstrate that capability assurance is now a prerequisite for credible investment governance.

With both the structural problem and international benchmarks established, the next section turns to solution design, examining what value must be demonstrated, how capability should be prioritised, and which governance levers can operationalise assurance at scale.

3. The Response: Integrated Capability Assurance

3.1. Strategic Goals, Objectives and Measures

With the governance gap and international precedents established, this section defines the outcomes required. The proposed goals translate workforce capability from a discretionary activity into an enforceable investment condition, directly supporting Cabinet's mandate to realise \$1.2–\$3.6 billion in savings while reducing delivery risk across the \$13 billion digital portfolio (DIA, 2025).

The framework is structured across three levels ensuring alignment from Cabinet priorities through to agency execution. As summarised in Table 3, success is defined not by activity, but by measurable value outcomes: Measurable Organisational Value (MOV), Calculated Client Value (CCV), and User-Centred Value (UCV).

At a strategic level, the objective is to embed capability assurance directly into digital investment governance so that all major funding decisions are supported by delivery-readiness evidence by Q4 FY26. This enables Cabinet to release capital only where risk is understood, and return on investment is defensible.

Tactically, SFIA-aligned capability diagnostics establish a common language of proficiency, enabling DIA to achieve system-wide visibility of maturity, identify future skill risks before approval, and prioritise investments based on quantified gaps.

Operationally, adoption is enabled through light-touch, AI-assisted CNA templates that minimise agency burden while strengthening executive accountability. These goals ensure that capability uplift delivers tangible fiscal impact, reducing contractor substitution, improving delivery confidence, and protecting public value. Failure to achieve these objectives risks perpetuating fragmented investment decisions, escalating remediation costs, and undermining Cabinet's savings expectations.

Level	Goal	Outcome	Key Objectives (Measures)	Value Lens
Strategic	Embed capability assurance into digital investment governance	Funding decisions backed by delivery readiness	100% of major digital proposals include CNA evidence by Q4 FY26 - Capability risk assessed alongside financial and delivery risk - Cabinet has clear line of sight from spend → capability → delivery confidence	MOV
Tactical	Standardise capability diagnosis and prioritisation	System-wide visibility of workforce maturity	- CNA outputs measured using SFIA-aligned indicators - Capability gaps classified consistently across agencies - Future skill risks identified pre-investment	CCV
Operational	Enable proportionate adoption and accountability	Agencies comply with minimal friction	- Light-touch CNA templates released, embedding digital literacy as a fiduciary duty in senior Job Descriptions. - Capability actions owned and monitored post-approval - Reduced reliance on contractors for core delivery roles	UCV

Table 3. Strategic Goals, Objectives and Measures for Integrated Capability Assurance

3.2. The Anticipatory Model: A Systems View

Building on the strategic goals outlined above, this section describes the integrated mechanism through which capability assurance is embedded into digital investment governance.

Figure 5 presents the Integrated Capability Assurance Model, showing how workforce capability is systematically connected to funding decisions through a reinforcing lifecycle. The process begins with technology foresight, identifying emerging skill pressures, such as AI, cybersecurity, data, and cloud architecture, before they materialise as delivery risks. These insights inform a CNA, which diagnoses whether agencies have, or can credibly develop, the capabilities required to deliver specific initiatives. Identified gaps are then translated into a common, comparable language using SFIA-aligned measurement and the Three-Tier Capability Model, enabling consistent visibility across agencies. Leadership accountability ensures these gaps are owned by named senior roles, embedding capability uplift into executive responsibilities rather than leaving it as an operational concern. Finally, the investment assurance gate formalises enforcement by requiring CNA evidence as an input to funding approval, linking delivery readiness directly to capital release.

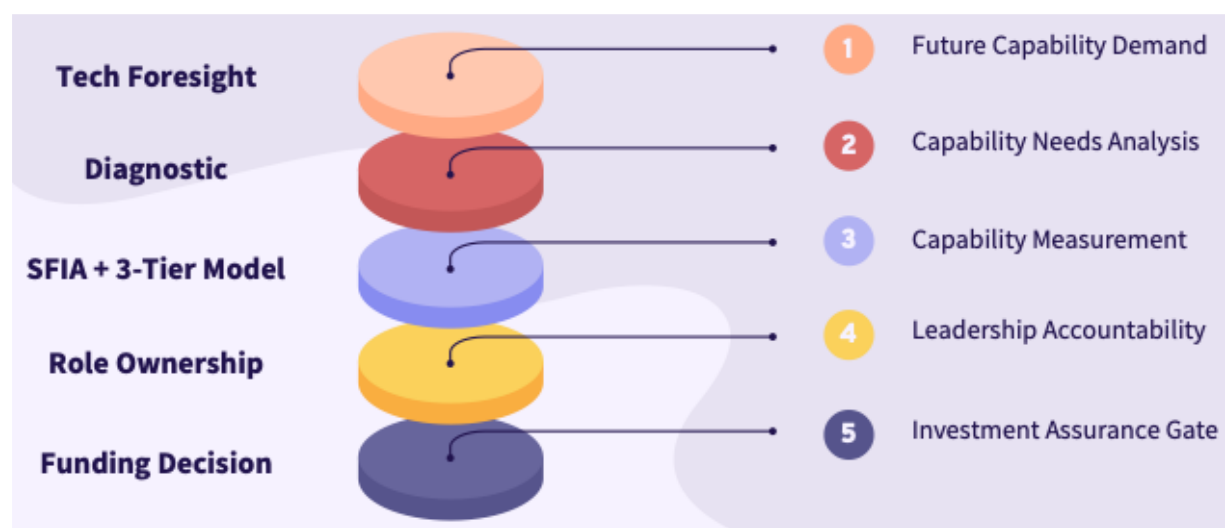


Figure 5. The Integrated Capability Assurance Model

These elements convert capability from an aspirational objective into a governance control. The model provides DIA with a repeatable, system-wide view of readiness, enabling prioritisation based on delivery confidence and measurable value. This directly supports Cabinet's expectation that investment decisions demonstrate clear alignment between spend, capability, risk, and outcomes, including the \$1.2–\$3.6 billion savings mandate. This systems view establishes the foundation for evaluating solution options in the following section.

3.3. Solution Options Analysis

Having established that the core problem is the absence of enforceable capability assurance at the point of investment approval, three implementation pathways were evaluated: maintaining the status quo, introducing incremental improvements, or embedding capability assurance directly into existing investment controls. Table 4 assesses these options against Cabinet's fiscal objectives, delivery-risk exposure, implementation feasibility, and their ability to close the governance gap.

Option	A. Do Nothing	B. Hard Mandate	C. Soft Mandate (Recommended)
Description	Retain voluntary frameworks and current BBC/Gateway processes	Legislative requirement for standardised capability compliance	Require CNA evidence as a condition of funding within BBC
Desirability	Low – governance gap persists	Medium – enforces consistency	High – directly addresses root cause
Feasibility	High – no change required	Low – high resistance, long lead time	High – leverages existing processes
Viability	Low – no assurance of delivery readiness	Medium – benefits offset by compliance burden	High – enables early risk reduction
Key Risks	Continued high-risk projects, contractor dependence	Cultural pushback, administrative overload	Requires change management
Indicative ROI	Low: Maintains exposure to \$1.2–\$3.6B savings risk	Medium: High resistance from agencies	High: Achieves \$3.6B savings with low friction

Table 4. Comparative Analysis of Options

Option A retains voluntary frameworks such as SFIA-NZ and agency-led capability initiatives. While low in immediate cost, it fails to address the structural root cause. Under this approach, investment decisions continue to rely primarily on financial and programme structure assurance through BBC and Gateway processes, without requiring evidence that agencies possess or can credibly build the workforce capability needed to deliver funded initiatives. Without a mandatory diagnostic trigger, agencies have no incentive to conduct forward-looking capability analysis prior to seeking investment approval. As a result, projects continue to enter the \$13 billion pipeline without verified delivery readiness, leaving 85 percent classified as high-risk and capability gaps discovered only during delivery when remediation is slow, expensive, and highly visible. This option therefore perpetuates contractor substitution, fragmented maturity, and weak portfolio assurance, directly undermining Cabinet’s \$1.2–\$3.6 billion savings mandate.

Option B introduces capability assurance through legislative or centrally imposed compliance requirements. While this would achieve uniform adoption, it presents significant feasibility challenges. Legislative change carries long lead times and high political cost, while agencies are likely to perceive prescriptive mandates as inflexible and disconnected from operational realities. More critically, hard mandates risk reducing capability assurance to a compliance exercise rather than a delivery enabler. Experience in comparable jurisdictions suggests that rigid controls often generate cultural resistance, leadership fatigue, and administrative burden, undermining practical uptake. Although Option B improves consistency, these implementation risks weaken its overall viability and threaten to offset potential benefits.

Option C embeds capability assurance as a condition of funding approval within the existing BBC framework. Agencies must provide project-specific Capability Needs Analysis evidence before capital is released, while retaining autonomy over how capability gaps are addressed. This approach directly targets the structural root cause by linking workforce readiness to investment governance. It converts capability from discretionary guidance into a prerequisite for accessing public capital, enabling early identification of delivery risk and preventing avoidable project failure. By leveraging established Treasury

processes, Option C is highly feasible and avoids the political and operational friction associated with legislative change. Most importantly, Option C aligns with Cabinet's centralisation of digital investment authority and reframes capability assurance as a fiduciary responsibility. It provides DIA with a system-wide, comparable view of readiness while supporting the Government's \$1.2–\$3.6 billion savings objective through reduced contractor dependence and improved delivery confidence. For these reasons, Option C offers the strongest balance of desirability, feasibility, and fiscal viability and is recommended as the preferred implementation pathway.

The following section translates this preferred option into practice, outlining the operational requirements, diagnostic design, implementation approach, and governance mechanisms needed to embed capability assurance into day-to-day investment decision-making.

4. The Approach: From Policy to Practice

Having established that delivery risk stems from invisible workforce capability, this section translates the recommended Integrated Capability Assurance option into practice, showing how a CNA becomes a repeatable, decision-grade input to investment governance, protecting the \$13B pipeline and supporting Cabinet's \$1.2–\$3.6B savings mandate.

4.1. User Requirements for the Diagnostic Tool

To operationalise the proposed assurance model, the CNA must function as a Strategic Funding Standard embedded within existing BBC and Gateway processes, rather than as a parallel workforce initiative. Its purpose is to ensure that agencies demonstrate delivery readiness alongside financial and structural viability before capital is released.

In practice, the CNA is initiated once an agency defines a digital project proposal and before submission of the Indicative Business Case. Agencies complete a structured CNA diagnostic that identifies required roles, proficiency levels, and resourcing pathways using SFIA-aligned fields. These outputs are reviewed by accountable senior leaders, then incorporated directly into BBC documentation. Gateway reviews subsequently assess this capability evidence alongside delivery and financial risk, enabling funding decisions to be informed by verified workforce readiness rather than assumptions.

This sequencing is deliberate. By positioning capability assessment upstream of investment approval, delivery risks can be identified while remediation remains low-cost and controllable. Under current arrangements, capability gaps typically surface during execution, when delays, contractor reliance, and rework are already embedded. The CNA reverses this pattern by making workforce readiness visible at the point where Cabinet and central agencies still have meaningful leverage.

To support consistent application across diverse agencies, the CNA tool must meet seven core user requirements, summarised in Table 5. These requirements are grouped around executive usability, evidence quality, integration with Treasury processes, proportionality, accountability, and system-wide visibility. They ensure the tool is simple to use, produces comparable data, and generates governance-ready outputs. For example, SFIA-aligned role and proficiency fields replace subjective assessments, while AI-assisted prompts reduce completion effort without removing human validation.

Requirement	Description	Governance Value
Executive usability	Structured prompts + AI-assisted role mapping; human validation	Minimises compliance burden & enables rapid completion and adoption
Evidence quality	Mandatory SFIA role, level, FTE/time fields	Creates comparable, auditable inputs
BBC integration	CNA outputs embedded into Treasury BBC templates	Embeds assurance in existing Treasury process to avoid parallel reporting
Risk & ROI signals	Readiness flag (e.g., Red/Amber/Green); contractor reliance indicator; capability milestones	Links capability evidence to investment decisions and savings outcomes
Proportionate design	Tiered depth (baseline → deep-dive) based on project size/maturity while retaining common core fields	Supports diverse agency maturity without losing consistency
Accountability linkage	Outputs flow to JDs, KPIs, reviews	Makes capability a fiduciary responsibility
System visibility	Aggregated dashboard view for GCDO portfolio oversight and reporting	Enables Cabinet-level oversight

Table 5. CNA Tool User Requirements Summary

Table 6 demonstrates how CNA outputs align progressively with each BBC stage. At Indicative Business Case, agencies provide a high-level capability readiness signal; at Detailed Business Case, they submit quantified role requirements and sourcing plans; and at Implementation Business Case, capability milestones are tracked alongside delivery phases. This staged integration embeds workforce assurance directly into existing investment controls.

BBC stage	CNA output (minimum)
Indicative BC	High-level capability gap summary + readiness flag
Detailed BC	SFIA-mapped roles/levels + proficiency + sourcing plan
Implementation BC	Capability milestones aligned to delivery phases + monitoring cadence

Table 6. CNA Integration with the BBC Framework

Critically, CNA outputs also flow into senior role accountabilities and GCDO dashboards, enabling Cabinet-level oversight of capability risk, contractor reliance, and delivery readiness across the \$13 billion portfolio. With CNA requirements established, the next subsection outlines how DIA can implement this mechanism through a phased roadmap from pilot to system-wide assurance.

4.2. Implementation Approach and Roadmap

Implementation follows a staged pathway that moves capability assurance from concept to routine governance while minimising disruption to agencies. Figure 6 presents the phased roadmap from baseline diagnosis to sustained Cabinet assurance.

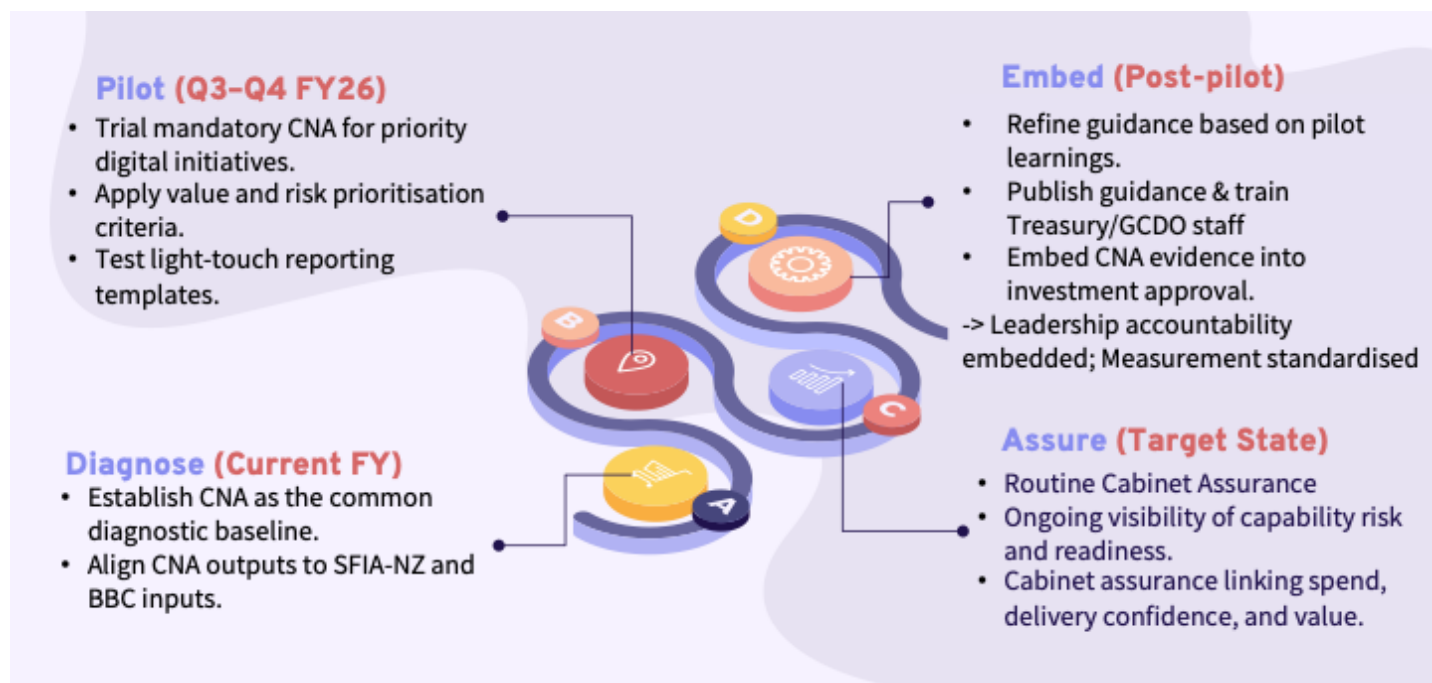


Figure 6. Phased Implementation Roadmap

Phase 1 establishes CNA as the common diagnostic baseline, aligning outputs with SFIA-NZ and BBC inputs. This creates the shared measurement foundation required for system-wide visibility. Phase 2 pilots the approach across agencies of varying maturity, validating usability, leadership ownership, and integration with investment approvals. Phase 3 embeds CNA evidence into All-of-Government funding processes, ensuring that capability measurement, senior accountability, and investment controls operate as one system. Phase 4 transitions to steady-state assurance, providing ongoing visibility of capability risk, delivery readiness, and value realisation.

Critically, each phase is interdependent: standardised measurement enables leadership accountability; leadership ownership enables credible CNA inputs; and only together do they allow the GCDO to apply the assurance gate effectively. This staged approach enables DIA to test, refine, and scale the model before full adoption, reducing implementation risk while delivering early confidence. With the implementation pathway established, the following section examines organisational impacts, and the change strategy required to support adoption.

4.3. Impacts and Change Management

Embedding CNA as a condition of funding shifts capability from “good practice” to governance-required evidence. This will change how senior leaders sponsor digital delivery, how investment cases are prepared, and how capability data is measured and reported.

Table 8 summarises the primary impacts across people, process, and technology. At a people level, Chief Executives (CEs) and senior leaders assume clearer fiduciary accountability for delivery readiness, while CIO/HR functions move from ad-hoc resourcing to evidence-led workforce planning. Process impacts centre on integrating CNA outputs into BBC stages and strengthening Gateway-style assurance by

adding a capability readiness check alongside financial and delivery risk. Technology impacts are intentionally light-touch: a secure diagnostic workflow and reporting layer that standardises SFIA-NZ inputs and enables portfolio visibility.

Category	Impacts
People	- CE/CIO ownership of readiness - HR aligns role profiles and uplift pathways to SFIA-NZ.
Process	- CNA evidence embedded into BBC stages - Capability readiness reviewed at assurance gates - Conditional approvals tied to capability milestones.
Technology	- Minimal-burden diagnostic workflow - Role-based access - Standardised SFIA-NZ fields enabling portfolio dashboards.

Table 8. Impact Summary (People–Process–Technology)

Figure 7 applies the ADKAR model to support adoption at scale (Hiatt, 2006). Awareness is built through consistent messaging on fiscal exposure and delivery risk; Desire is created by reframing CNA as “Strategic Funding Standards” and reducing effort through templates; Knowledge and Ability are delivered through short enablement sessions and practical examples; Reinforcement occurs through quarterly reporting, peer benchmarking, and leadership performance expectations. This approach also leverages frontline managers as change multipliers to avoid change fatigue and improve on-the-ground adoption.



Figure 7. ADKAR Change Model Applied to CNA Adoption

With expected impacts understood, the next section outlines the key implementation risks, and the mitigations required to sustain compliance and data integrity.

4.4. Risks and Mitigations

Embedding CNA into investment governance introduces manageable risks that must be controlled without creating unnecessary friction for agencies. This section identifies the primary threats to adoption, data integrity, and continuity, and sets out proportionate mitigations aligned with the “soft mandate” approach.

As summarised in Table 9, the most material risks relate to political and cultural acceptance, capability supply constraints, and data quality. Resistance is likely if CNA is perceived as compliance overhead; this is mitigated by positioning CNA as Strategic Funding Standards, embedding it within existing BBC processes, and co-designing templates with agencies to maintain usability. Capability shortages, particularly in AI and cyber, will become more visible once assurance is introduced. Rather than suppressing this signal, mitigations focus on coordinated responses such as shared services, approved vendor panels, and conditional approvals tied to remediation milestones. Data integrity presents a further risk. Standardised SFIA-NZ inputs, automated validation, and targeted GCDO sampling reduce the likelihood of inflated assessments while preserving a supportive assurance posture.

Risk	Description	Likelihood	Impact	Mitigation
Political / cultural resistance	Agencies perceive CNA as additional compliance, reducing willingness to engage	High	Medium	Reframe as Strategic Funding Standards; embed in BBC as funding condition; co-design with agencies
Data quality / gaming	Capability gaps understated to secure funding approval	Medium	High	Mandatory SFIA-NZ fields; automated validation rules; peer review; targeted GCDO sampling
Capability supply constraints (AI/cyber)	CNA exposes shortages agencies cannot immediately resolve	High	High	Portfolio visibility to coordinate demand; shared services/vendor panels; conditional approvals with remediation milestones
Tool complexity / low adoption	CNA perceived as difficult or time-consuming	Medium	Medium	Light-touch templates; guided workflow; rollout support; continuous refinement from pilot feedback
Duplication with existing reporting	CNA adds parallel reporting effort	Medium	Medium	Position CNA as single capability input to BBC and workforce planning; retire overlapping artefacts
Framework lag (SFIA updates)	Emerging roles not reflected in SFIA taxonomy	Medium	Low	Closest-equivalent mapping guidance; periodic calibration; NZ-specific descriptors
GCDO function transition (Apr 2026)	Ownership gaps during organisational change	Low	Medium	Named process owner; transition-ready documentation; align milestones to PSC handover

Table 9. Risk Register and Mitigation Strategy

These mitigations ensure CNA strengthens governance without becoming punitive, reinforcing delivery confidence while sustaining agency engagement. With key risks and controls defined, the next section sets out the indicative costs of implementing the model and how value will be realised against Cabinet’s savings expectations.

4.5. Indicative Cost and Value Realisation

This section outlines the indicative cost profile of the proposed assurance model and demonstrates how value is realised through reduced delivery risk and lower contractor dependency. The intent is not to over-quantify benefits, but to provide Cabinet with a practical sense of scale, affordability, and fiscal relevance.

Implementation costs are modest relative to the \$13 billion digital pipeline at risk. High-level expenditure is concentrated in five areas: CNA tool configuration, SFIA-NZ enablement, change and training support, pilot delivery, and ongoing governance overhead. Together, these represent a low-single-million initial investment with modest annual operating costs, significantly outweighed by the potential avoidance of failed delivery and continued contractor reliance.

The most immediate and measurable value arises from shifting critical roles from external contractors to permanent staff through CNA-informed workforce planning. Table 10 provides a conservative worked example comparing one senior contractor role with internal capability uplift. Even under cautious assumptions, the analysis shows a break-even point within six months of project delivery, after which savings accrue annually.

Scenario	Annual Cost (1 FTE)	Assumptions
External contractor	~\$312,000	\$150/hour × 2,080 hours
Permanent uplift (incl. training)	~\$210,000	\$95/hour equivalent + \$12k training
Indicative annual saving	~\$102,000	Excludes recruitment overhead
Break-even point	~5–6 months	Based on delivery phase utilisation

Table 10. Costed Example – Permanent Upskilling vs Contractor Hire (Conservative Illustration)

Beyond direct cost reduction, the CNA enables earlier identification of capability risks, improving sequencing of investments and reducing late-stage remediation. Importantly, it also supports Cabinet's \$1.2–\$3.6 billion savings mandate by ensuring funding is released only where delivery readiness is evidenced. With indicative costs and value established, the following section outlines how governance and reporting will sustain accountability and Cabinet oversight.

4.6. Project Governance and Reporting

To ensure the Capability Needs Analysis (CNA) operates as an enduring governance mechanism, not a one-off implementation project; clear ownership, decision rights, and reporting cadence are established from the outset. Governance is designed to provide Cabinet with continuous assurance that digital investment is matched by delivery capability.

Strategic accountability sits with the Government Chief Digital Officer (GCDO), who sponsors the programme, chairs the Steering Committee, and provides Cabinet reporting. Operational ownership rests with the Director, Digital Investment & Assurance, supported by a dedicated CNA Implementation Lead. A cross-agency Steering Committee (GCDO, PSC, Treasury, and rotating Chief Executives) oversees delivery, while an Advisory Group of CIOs and workforce specialists supports technical consistency and adoption.

Reporting is structured to align with existing investment rhythms. Table 11 summarises the governance cadence across audiences. During the pilot, progress is reviewed monthly; once embedded, quarterly reporting becomes standard. Cabinet receives a concise bi-annual summary highlighting capability health, Red/Amber project risks, and progress against the \$1.2–\$3.6 billion savings mandate.

Critically, CNA outputs become routine governance inputs. At project level, CNA evidence is reviewed alongside Indicative, Detailed, and Implementation Business Cases. At portfolio level, the GCDO aggregates CNA data quarterly to reveal system-wide skill gaps, delivery risk concentrations, and emerging pressures, creating a consistent line of sight from funding decisions to workforce readiness.

Audience	Frequency	Purpose	Output
Steering Committee	Monthly (pilot); Quarterly (steady state)	Oversight of delivery, risks, and resourcing	RAG dashboard
Cabinet	Bi-annual	Capability health, risk exposure, savings progress	2-page executive summary
Agencies	Quarterly	Benchmarking, completion rates, support pathways	Sector update
Public Service Commission	Quarterly	Strategic workforce alignment	Integrated report

Table 11. Governance and Reporting Framework

This integrated governance model embeds capability assurance into everyday investment oversight while maintaining proportionate data access and agency autonomy. With governance established, the final section outlines delivery roles and next steps.

5. Team and Roles

Delivery of the Integrated Capability Assurance Model requires coordinated leadership across technology, workforce measurement, organisational change, and investment governance. Capability Plus (Group 2) provides integrated consulting support across these domains, while ownership remains firmly with the client.

Capability Plus – Group 2:

- **Shivam Ghai (Technology & Future Skills):** Leads technology foresight, identifying emerging AI, cyber, cloud, and data capability pressures and supporting the design of the AI-assisted diagnostic logic.
- **Mranal Shrivastava (Measurement & Diagnostic Design):** Architects the Capability Needs Analysis (CNA), Three-Tier engagement model, and SFIA-NZ alignment to ensure consistent, comparable capability evidence.
- **Priyal Agravedi (Leadership & Accountability):** Designs leadership accountabilities and change enablement, embedding digital capability as a senior fiduciary responsibility.
- **Grace Nguyen (Investment & Risk Integration):** Leads BBC integration, capability assurance gating, and value modelling to connect workforce readiness directly to funding decisions.

Client roles include the GCDO as Executive Sponsor (strategic oversight and Cabinet reporting), the Director of Digital Investment & Assurance as Operational Owner, a CNA Implementation Lead (day-to-day delivery), participating Chief Executives as pilot champions, and Treasury representatives to ensure alignment with Better Business Case requirements.

This structure ensures strong system stewardship while preserving agency ownership of delivery.

With roles clarified, the proposal concludes with a recommended decision and next steps.

6. Closing Statement and Call to Action

This proposal demonstrates that New Zealand's \$13 billion digital investment pipeline is exposed not by technology, but by invisible workforce capability. With 85 percent of initiatives already classified as high risk, voluntary guidance is no longer sufficient. Without enforceable assurance, delivery readiness remains unknown until failure emerges, too late and too costly.

The Integrated Capability Assurance Model addresses this governance gap by embedding Capability Needs Analysis into the Better Business Case framework. For the first time, funding approval becomes contingent on validated delivery capability. This shifts workforce readiness from an operational concern to a Cabinet-level governance input while remaining proportionate, practical, and agency-led.

The model is anticipatory rather than punitive: AI-assisted diagnostics reduce burden, SFIA-NZ enables comparability, and the Three-Tier pathway supports agencies at different maturity levels. Together, these mechanisms provide Cabinet with a clear line of sight from spend to readiness to delivery confidence, directly supporting the mandated \$1.2–\$3.6 billion savings objective.

The window to act is narrow. The April 2026 GCDO–PSC transition provides a critical opportunity to embed capability assurance before fragmentation becomes entrenched.

Recommendation: Approve Option C (Soft Mandate) and authorise immediate commencement of the CNA pilot.

Capability Plus is ready to begin pilot design now, enabling Q4 FY26 implementation and ensuring that 100 percent of major digital funding decisions are backed by evidence of delivery readiness.

Investing early safeguards \$13 billion. Delaying preserves risk.

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Addenda

Appendix A. Firm Description – Capability Plus

Capability Plus is a specialist student consulting team focused on digital transformation, workforce capability, and public sector governance. The firm brings together complementary expertise across technology foresight, capability measurement, leadership accountability, and investment assurance to address complex, system-level challenges in government.

Our Values

- **Evidence-led** – We prioritise data, frameworks, and validated diagnostics over opinion-based decision making.
- **System stewardship** – We design solutions that work across agencies, not in silos.
- **Practical implementation** – Every recommendation is grounded in operational reality and existing government processes.
- **Proportionate governance** – We balance accountability with usability, ensuring solutions are rigorous yet adoptable.
- **Public value first** – We focus on sustainable capability uplift that protects taxpayer investment and improves service outcomes.

Capability Plus operates on a co-design principle, working alongside client stakeholders to ensure solutions are credible, scalable, and aligned with Cabinet expectations.

Appendix B. Team Profiles – Group 2



Priyal Agravedi – Leadership & Change Enablement

Developed the leadership accountability framework embedding digital capability into senior roles and performance expectations. Led change design using ADKAR principles to support adoption of assured capability governance across agencies.

Mranal Shrivastava – Measurement & Diagnostic Design

Designed the Capability Needs Analysis (CNA) and Three-Tier engagement model, aligning outputs to SFIA-NZ for system-wide comparability. Led development of the diagnostic structure that converts agency inputs into governance-ready capability insights.

Shivam Ghai – Technology & Future Skills

Leads technology foresight, analysing emerging capability pressures across AI, cybersecurity, cloud, and automation. Contributed future-skills mapping and AI-assisted diagnostic logic to ensure capability risks are identified before they become delivery failures.

Grace Nguyen – Investment Assurance & Value Realisation

Led integration of CNA into the Better Business Case framework, positioning workforce readiness as a funding prerequisite. Developed the Soft Mandate model and value case linking capability assurance to delivery risk reduction and the \$1.2–\$3.6B savings mandate.